

Literature View: Positioning Remittance Non-Neutrality with Returns

Draft notes

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1 Positioning in the literature

When positioning the paper in the literature, emphasize that existing public finance work often explains why tax remittance may matter in practice. Slemrod (2008) stress avoidance, evasion, and administrative costs when the statutory remitter differs from the party that ultimately bears the tax. Chetty et al. (2009) show that consumers may underreact to taxes that are less salient at the point of purchase, so posted-price versus register-price remittance can change behavior even when statutory incidence is held fixed.

This paper identifies a distinct, purely structural source of remittance non-neutrality that survives fully rational, attentive agents. Under product returns, the refund price differs under buyer versus seller remittance: a seller-remitted tax is refunded at the tax-inclusive checkout price, whereas a buyer-remitted tax is refunded only at the pre-tax list price. Because the keep-or-return decision depends on the refund price, the return margin dynamically reshapes supply, effective margins, and equilibrium outcomes even when no agent misperceives the tax and no evasion margin is active. The contribution is therefore not another behavioral or enforcement story about who remits, but a market-structure result: returns break the classical remittance-neutrality benchmark through the economics of the refund margin itself.

References

- Raj Chetty, Adam Looney, and Kory Kroft. Salience and taxation: Theory and evidence. *American Economic Review*, 99(4):1145–1177, 2009.
- Joel Slemrod. Does it matter who writes the check to the government? the economics of tax remittance. *National Tax Journal*, 61(2):251–275, 2008.